is also in the process of setting up an IT subsidiary, which will be able to recruit directly from industry, and will give the Reserve Bank better ability to manage and supervise technology. I would urge all of you to take a fresh look at your systems, and more important, of the cyber culture within your bank.

Postscript: Many of the suggestions in this speech are still relevant. In particular, the governance of public sector banks can be improved only when the government distances itself fully from the banks, creates a transparent and professionalized process for appointing its directors on the boards (not dominated by governing party favourites or current or retired government bureaucrats), and allows bank boards both autonomy as well as accountability in picking and compensating bank management. Unless public sector banks are run like normal corporations, they will not be competitive in the medium term. I have a simple metric of progress here: We will have moved significantly towards limiting interference in public sector banks when the Department of Financial Services (which oversees public sector financial firms) is finally closed down, and its banking functions taken over by bank boards and the Bank Board Bureau.